

FINOPS CERTIFIED FOR AI · AI VALUE · LEVELS 1-3

FinOps for AI

Complete 2-Day Training · 16 hours



What you will be able to do after two days

Level 1: Foundations

Allocate AI costs, ingest data, report, manage anomalies, reconcile invoices, educate and collaborate.

Level 2: Strategy & Governance

Govern with policies and an AI Investment Council; plan, estimate, forecast and budget; adapt the practice.

Level 3: Optimization & Value

Shape architecture, optimize workloads and rates, control licences and SaaS, and prove value with unit economics.

Course map: three levels, twenty modules

Level 1 · 8 modules

- Overview
- Allocation
- Data sources
- Reporting
- Anomalies
- Invoicing
- Education
- Allied personas

Level 2 · 6 modules

- Overview
- Policy & governance
- Planning & estimating
- Forecasting
- Budgeting
- Adapting the practice

Level 3 · 6 modules

- Overview
- Architecting & placement
- Workload optimization
- Rate optimization
- Licensing & SaaS
- Unit economics

How the two days work

Learn

Short sketch-style concept slides, each following the eBook order.

Check

Knowledge check after every module: answer first, discuss, then reveal.

Apply

Short group activities (workbook) and a capstone plan on Day 2.

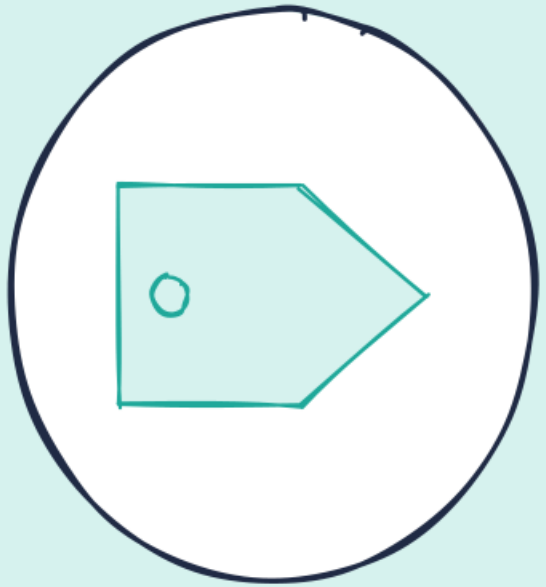
Ground rules

Phones away, questions welcome, blameless discussion, real examples (anonymised).

Day 1 agenda · Level 1 + start of Level 2

09:00–09:25	Welcome, objectives and how the course works (25 min)
09:25–09:40	L1 · M1 Overview (15 min)
09:40–10:50	L1 · M2 Allocating AI-Related Costs (70 min)
10:50–11:40	L1 · M3 Managing AI Data Sources (50 min)
11:40–11:55	**Tea break**
11:55–12:35	L1 · M4 Organization-Wide Reporting (40 min)
12:35–13:25	L1 · M5 Managing Anomalies (50 min)
13:25–14:10	**Lunch**
14:10–14:50	L1 · M6 AI Invoice Reconciliation & Chargeback (40 min)
14:50–15:35	L1 · M7 Education & Enablement (45 min)
15:35–15:50	**Tea break**
15:50–16:20	L1 · M8 Working With Allied Personas (30 min)
16:20–16:35	L2 · M1 Overview (15 min)
16:35–17:25	L2 · M2 AI Policy & Governance (50 min)
17:25–18:05	L2 · M3 AI Planning & Estimating (40 min)
18:05–18:15	Day 1 wrap-up and preview of Day 2 (10 min)
18:15	**Close**

LEVEL 1



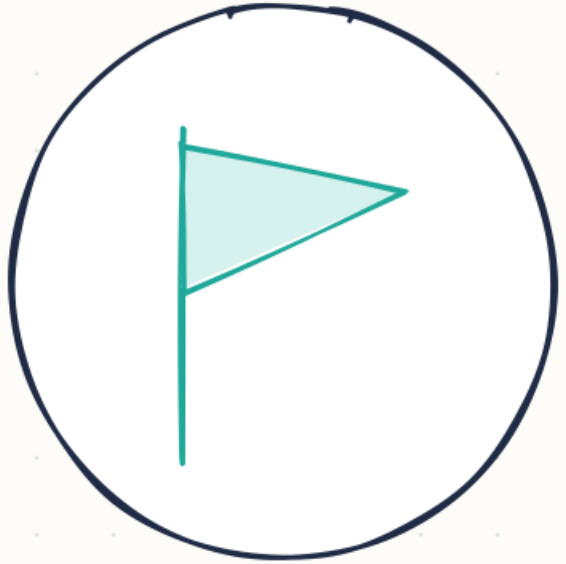
Foundations

Allocation, data ingestion, reporting, anomaly management, invoicing, education and collaboration.

Module roadmap

By the end of this module you will be able to…

- Explain how Level 1 moves from concept to practice
- Describe why AI costs are harder to see and control than traditional cloud spend
- Preview the seven modules of Level 1 and the toolkit you will build



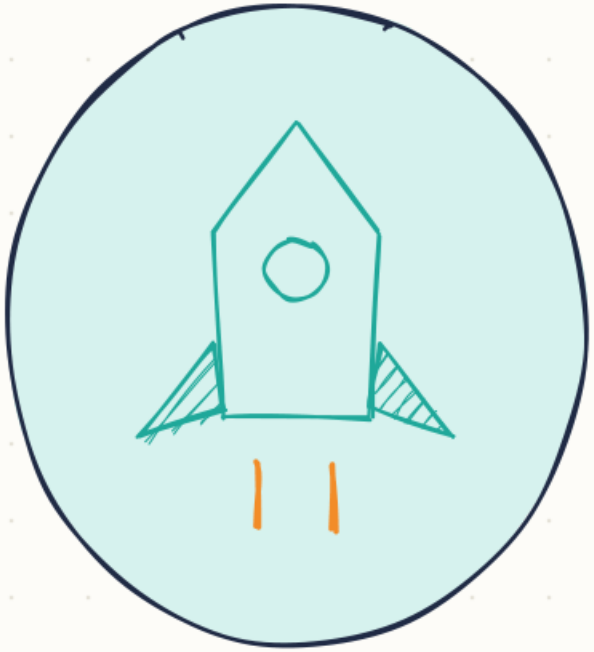
15 min

FinOps capabilities in play

Allocation · Data Ingestion · Reporting & Analytics

Welcome to Level 1!

- **Where we are.** You have explored AI foundations, why FinOps matters, and AI as its own Scope.
- **Same story, faster.** AI adoption mirrors the early days of cloud, but at a much faster pace.
- **Level 1 goal.** Apply FinOps Capabilities directly to AI workloads.
- **Foundation trio.** Allocation, Data Ingestion, Reporting & Analytics.
- **Supporting practices.** Anomaly Management, Invoicing & Chargeback, Education & Enablement.



The bridge between understanding FinOps for AI and practicing it.

Why this matters

Fragmented

AI costs hide inside cloud and SaaS invoices, spread across many vendors with no clear owner.

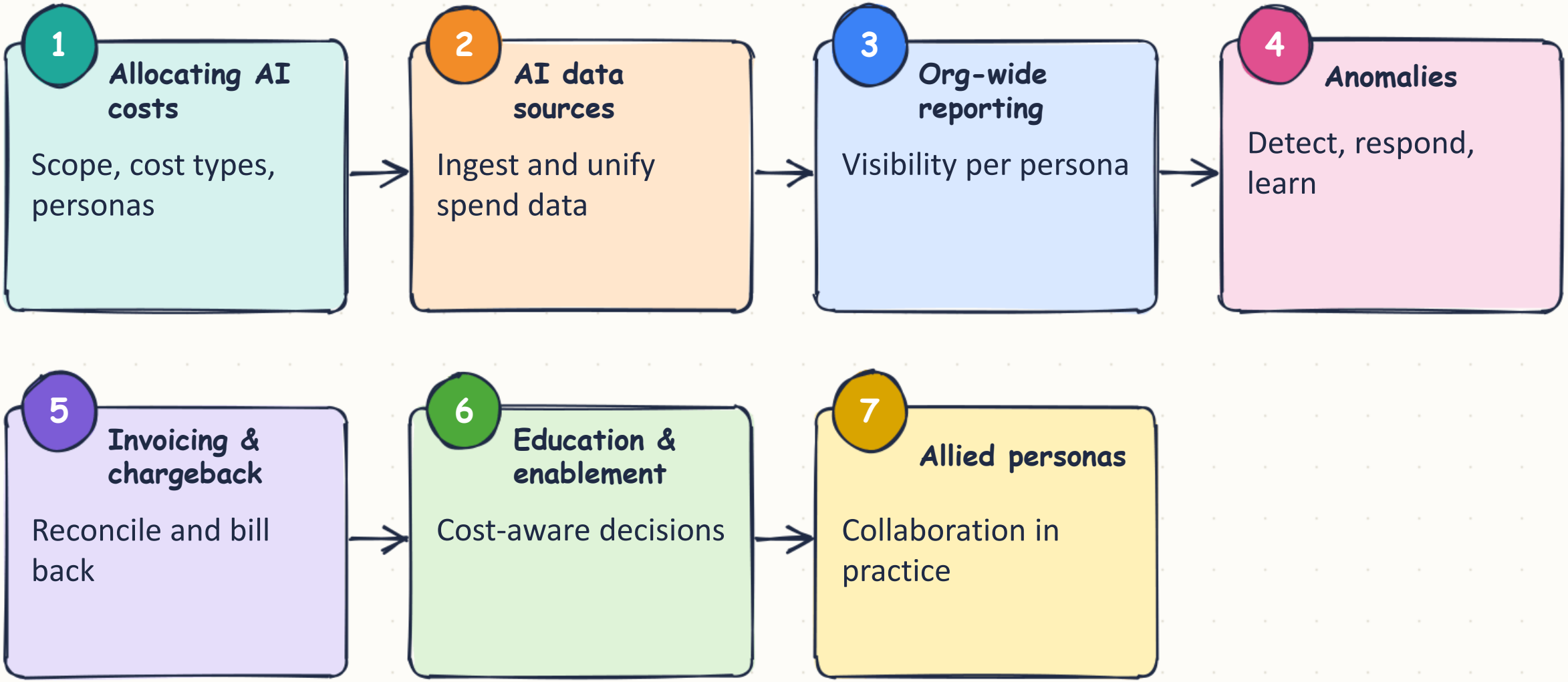
Unpredictable

Sudden GPU usage spikes can blow through budgets before anyone notices.

Unfamiliar pricing

Tokens, GPU hours, licences and commitments need new mental models.

Level 1 roadmap



Check your knowledge · Module 1

Q1 What is the purpose of Level 1 in the AI Value curriculum?

- **A** To re-teach the history of AI
- **B** To move from concepts to applying FinOps Capabilities directly to AI workloads
- **C** To replace the FinOps Framework
- **D** To focus only on GPU hardware selection

Q2 True or False: FinOps for AI is mainly about slowing down AI innovation to cut spend.

- **A** True
- **B** False

Key takeaways

- **Level 1 = practice.** You move from "what and why" of FinOps for AI to "how".
- **AI cost is fragmented.** It hides in cloud, SaaS and invoices with unfamiliar pricing.
- **Enable, don't slow.** FinOps for AI exists to let the business scale AI responsibly.

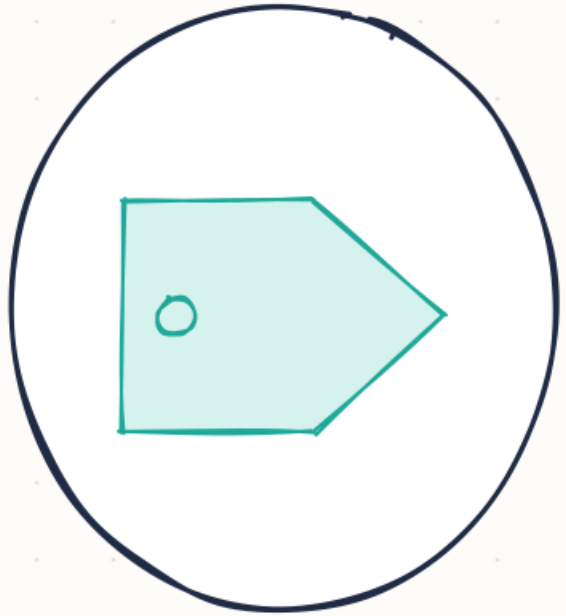




Module roadmap

By the end of this module you will be able to…

- Treat AI as a Scope and decide what to monitor first
- Name the five AI cost types and where each shows up
- Find AI spend in FOCUS data, marketplaces, SaaS and internal sources
- Match each persona to their allocation concern
- Apply tagging, showback/chargeback and usage-based allocation, and close allocation gaps



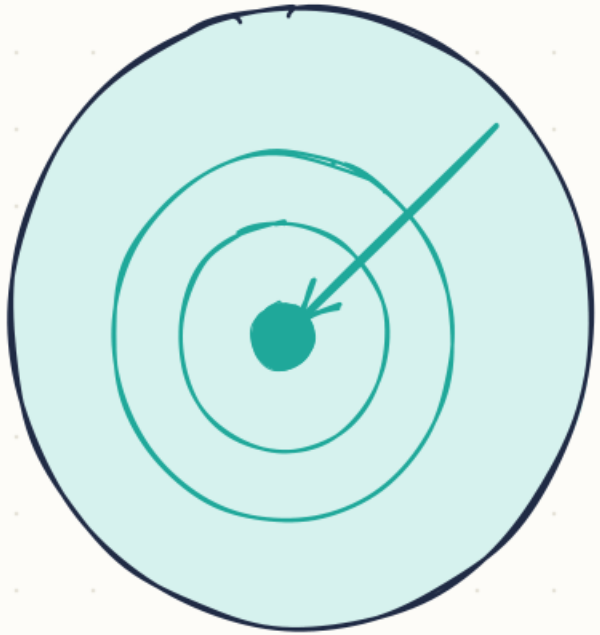
70 min

FinOps capabilities in play

Allocation · Data Ingestion · Reporting & Analytics

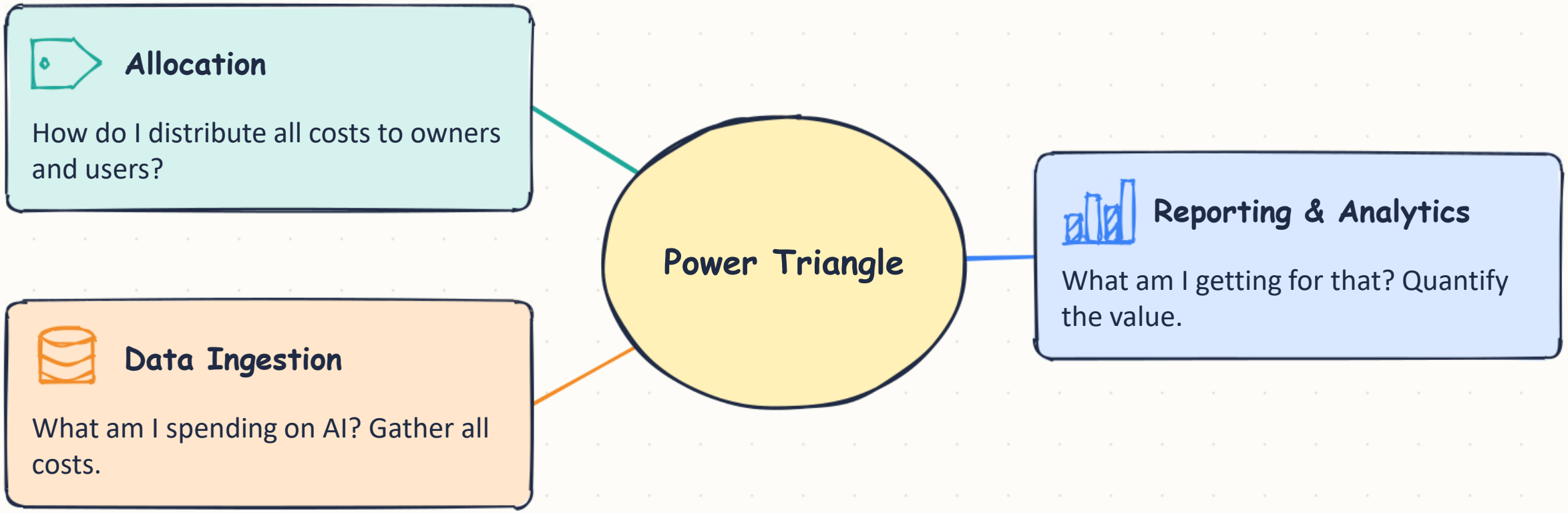
AI as a Scope: why allocate AI-related costs?

- Understand the source and ownership of AI-related costs
- Project and forecast costs coming down the pipeline
- Make teams aware of how much their AI activities cost
- Keep costs within expectations
- Incorporate AI costs in unit economic calculations
- Help the business reach the strategic outcomes it wants from AI



Allocation links cost to activity and enables ownership.

The Power Triangle



Identifying AI activities: start "small"

1

Start "small"

Review organizational priorities and the business and technology strategy.

2

Define your Scope

Document teams and projects using AI services; choose the Capability activities that quantify spend and value.

3

Monitor as needed

Review the remaining AI services on an agreed cadence (for example bi-monthly) unless spend changes sharply.

Types of AI costs

Application costs

Running, configuring and maintaining the AI-enabled application layer.

Token costs

Usage-based cost of tokens generated and processed by models.

Model costs

Training plus operating costs (routing, per-model charges, queries served).

Data costs

Acquiring, maintaining and storing data; often soft costs treated as R&D.

Infrastructure costs

Compute, storage and networking, in cloud, on-prem or hybrid; plus supporting services.

Allocating token, model and data costs

Tokens

- Single-use model: allocate directly by customer usage
- Multi-user systems: use a proxy such as tokens processed
- Watch pre/post-processing and guardrails that inflate tokens

Models

- Training: data prep and compute, can reach millions
- Operating: model type, routing, number of queries
- Good MLOps keeps both sustainable

Data

- Soft costs, often R&D; depreciate upfront buys
- Allocate by resource (costlier datasets bear more) or pro-rate across use cases
- Retraining adds ongoing cost

Infrastructure costs and shared services

Tag consistently

Tag resources with cost centre or application name so cost can be tracked and distributed.

Shared APIs and clusters

Use usage metrics to distribute costs of services consumed by many teams.

Do not forget the supporting cast

Database indexing, MLOps tooling, security and observability tools, operational labour.

Getting started with data: where to look

FOCUS datasets from CSPs

Filter Service Category for AI and Machine Learning; cross-reference each CSP's AI services.

Marketplace purchases

Third-party AI bought through cloud marketplaces.

Procurement and ITAM

Contracts, licences and asset records for AI tools.

SaaS and PaaS providers

Direct vendor billing and AI SaaS contracts.

Internal resources

Slack, Confluence, Teams AI channels; hiring boards for AI roles.

Spotting specialized compute (GPU) resources

Also filter FOCUS Service Category for "AI and Machine Learning".

Provider	Where to look for AI compute
Google	N1, G2, A2, A3 machine families
AWS	P and G families; Trn and Inf instances
Azure	ND virtual machines
Oracle	Bare metal NVIDIA and AMD GPUs
Alibaba Cloud	gn, vgn, sgn GPU-accelerated instances



Personas and their allocation concerns



Finance

Provides detailed cost data such as invoices and needs accurate allocation to the ledger.



Procurement

Vendor agreements and terms that shape how costs can be allocated.



Engineering

Knows how AI is used and the value it delivers.



Leadership

Sets AI spend strategy; allocation must align to it.



Product

Cares about fairness and must understand and agree to allocation.

AI business value and allocation strategy

How AI delivers value

- Cost efficiency and productivity: chatbots, code copilots
- Revenue growth and innovation: recommendations, generated campaigns
- Risk management and compliance: fraud detection
- Decision intelligence: AI-driven forecasting and assistants

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What allocation adds

- Transparency of AI spend
- Fair distribution of shared GenAI services
- Value alignment between cost and benefit
- Optimization incentives for engineering
- Governance and controls such as budgets

Allocation strategy elements

Element	What it does	Example
Tagging	Track costs by team, model or project	Allocate a shared internal LLM across Marketing, Finance and HR
Unit economics	Cost per AI output tied to outcome	Cost per recommendation vs revenue gain
Showback / chargeback	Bill AI cost back to business units	Separate Sales lead-scoring from Engineering code-generation use
KPIs and ROI tracking	Link spend to value delivered	AI Ops at $500k/yr yielding $2M fraud savings
FinOps feedback loops	Use cost/performance data to improve lifecycle	Reduce retraining frequency to cut 30% of cost

Example in practice: predicting customer churn

A company runs an ML model that analyses behaviour, purchase history and engagement to flag churn risk. FinOps partners with stakeholders to track and allocate the associated AI costs.

Identify costs

- Model training
- Inference and data pipelines
- Tooling

Allocate

- Tag by model and project
- Share common data costs by usage

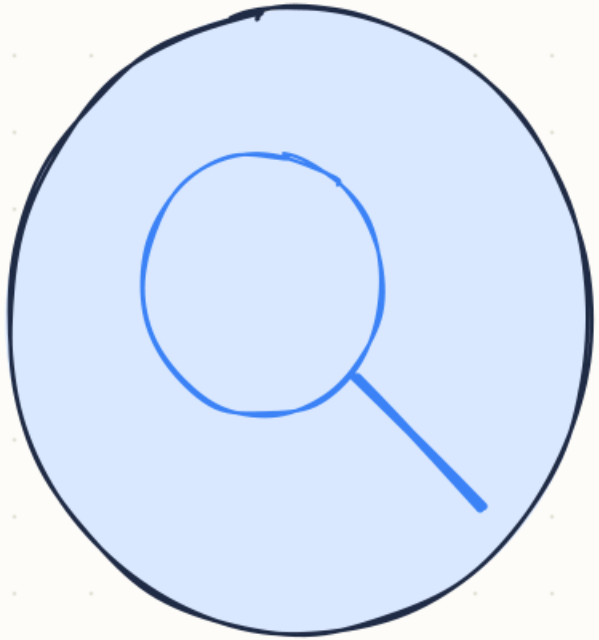
Report value

- Churn reduced
- Retention revenue vs AI cost

Transparency and accountability let the organization maximise return on investment while controlling cost.

Application: integrating AI costs into FinOps

- Filter FOCUS data for "AI and Machine Learning" in Service Category
- Identify marketplace purchases of AI services and licences
- Ask the teams who own Microsoft 365, Google Workspace and similar about AI add-ons
- Check data platforms (Databricks, Snowflake) and enterprise apps (SAP, Workday) for AI features
- Work with Procurement to find AI SaaS contracts
- Search Slack, Teams and Confluence for AI channels; review AI hiring postings



Real-world example: quick wins to advanced allocation

1 **Obvious costs**

Cloud billing: AI/ML service categories and GPU instances.

2 **High-impact services**

Target AI that supports core products even if not labelled "AI".

3 **Untagged GPU clusters**

Use orchestration tool logs to assign usage by team.

4 **SaaS AI licences**

Match licence data to departments via ITAM and HR systems.

5 **Shared datasets**

Pro-rate by evolving usage and depreciate over lifecycle.

6 **Iterate**

Refine as tagging, usage and financial data improve.

Solving allocation gaps: the GPU cluster example

A central AI platform team runs a shared GPU cluster that is not tagged or metered per team.

$300k

monthly GPU cost unallocated: untagged, shared orchestrator, one account

3,000 h

GPU hours from job logs (Slurm, Kubernetes, Ray, MLflow)

$100 / h

allocated rate = $300,000 / 3,000 hours

Marketing 1,200 h = 40% = $120,000 · Fraud Prevention 1,050 h = 35% = $105,000 · Product R&D 750 h = 25% = $75,000



Using the Action Scale for allocation



Contributors (motivation)

- Interest in transparent AI cost
- Motivation from seeing their own spend
- Understanding of how allocation helps

vs



Detractors (friction)

- Effort and time to tag and report
- Process complexity
- Risk of being blamed for cost

Check your knowledge · Module 2

Q1 **Why is it important for FinOps Practitioners to allocate AI costs effectively?**

- **A** To avoid monitoring AI costs and focus only on cloud expenses
- **B** To ensure AI costs are hidden and not scrutinized by the organization
- **C** To connect AI costs to activities and enable better cost ownership
- **D** To eliminate the need for collaboration across the organization

Q2 **What is one of the primary challenges FinOps Practitioners face when managing AI costs?**

- **A** Avoiding collaboration with teams like Engineering and Finance
- **B** Identifying all sources of AI spend across various platforms
- **C** Focusing exclusively on cloud bills for AI cost management
- **D** Delaying the allocation of AI costs

Check your knowledge · Module 2

Q3 **True or False: Collaboration with Engineering, Finance, and Procurement teams is essential for identifying and allocating AI costs effectively.**

- **A** True
- **B** False

Q4 **Which of the following strategies can help optimize AI pricing models for cost efficiency?**

- **A** Using a fixed cost allocation method for all projects
- **B** Allocating costs based on usage metrics
- **C** Focusing solely on training costs
- **D** Ignoring token generation complexities

Key takeaways

- **Recognize the urgency.** AI costs grow fast, so act now.
- **Collaborate.** Engineering, Finance, Procurement and Leadership each hold a piece of the picture.
- **Link cost to activity.** Allocation creates ownership and lets you assess value.
- **Start small, iterate.** Quick wins first, then richer allocation models as data matures.
- **Close gaps with agreed rules.** Usage-based distribution (for example job logs) beats arbitrary splits.





Module roadmap

By the end of this module you will be able to…

- Explain why Data Ingestion is a Capability with natural affinity to Allocation
- List the data sources by infrastructure and by project
- Use the FOCUS format to unify AI cost data
- Decide whether AI is its own Scope or part of general tech cost
- Apply start-simple, prepare-for-change practices

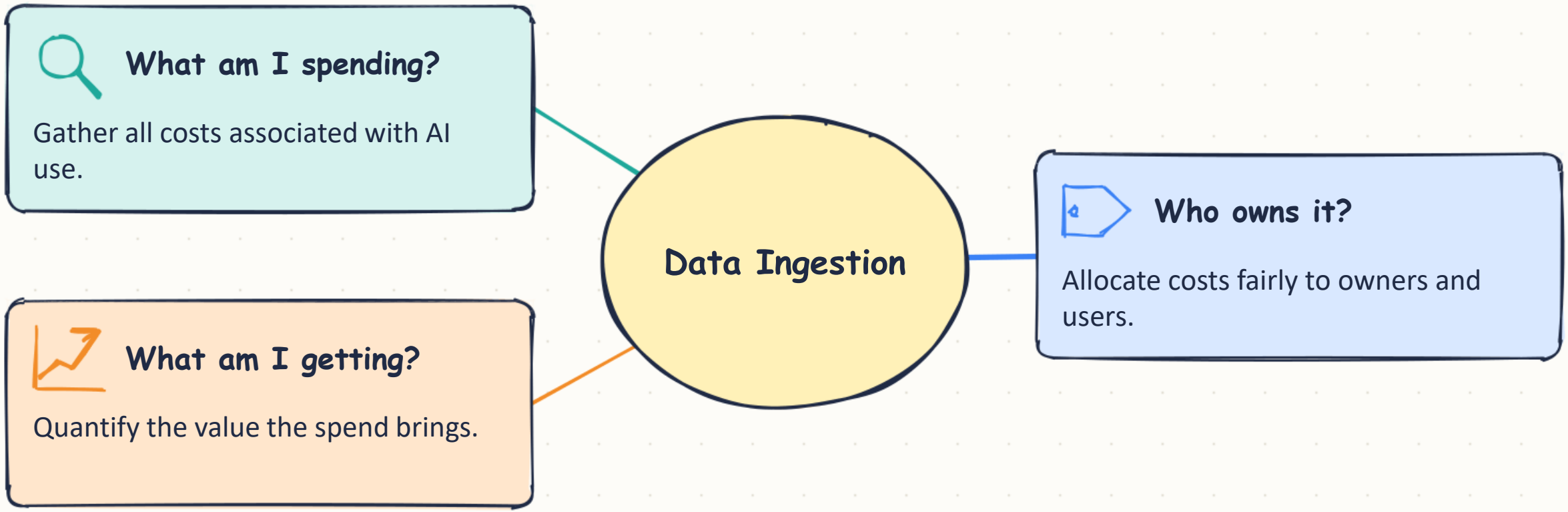


50 min

FinOps capabilities in play

Data Ingestion · Allocation · Reporting & Analytics

Capabilities with affinity



Data ingestion sources by infrastructure

Public cloud

Marketplace data, managed AI service platforms, native offerings.

Private cloud

Different cost model; internal metering and chargeback data.

Data cloud platforms

Snowflake, Databricks and similar platforms.

SaaS / PaaS

External AI services billed directly by vendors.

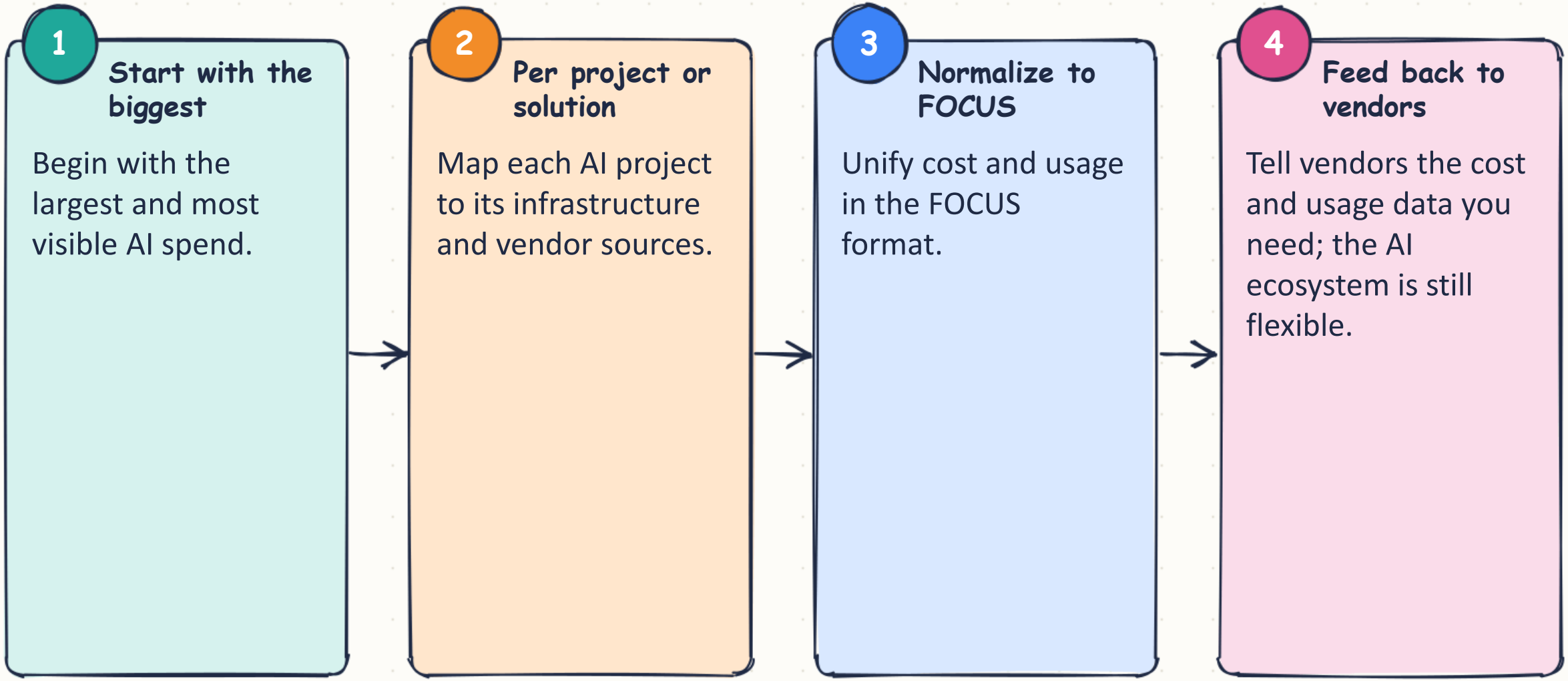
Licensing

Per-seat and enterprise AI licences.

Data centre and internal

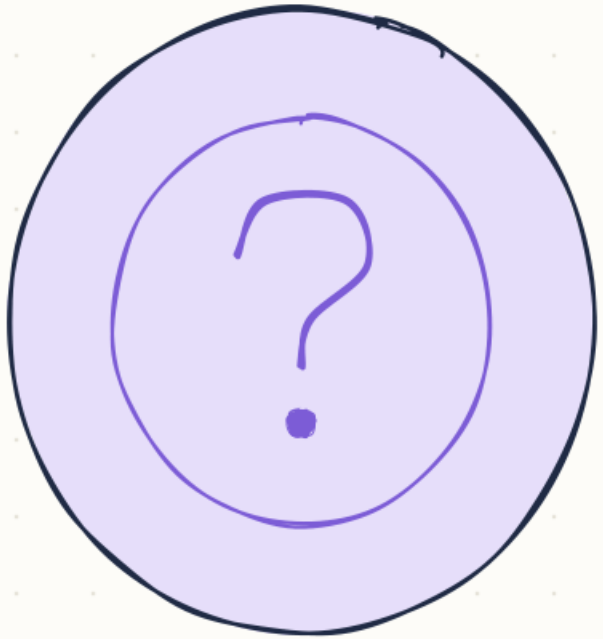
Traditional data centres plus internal sources of truth.

Where to start



Application: integrating AI data into FinOps

- **Stage 1.** AI is an included technology cost, with no unique targets or KPIs.
- **Stage 2.** Experimenting: leadership sets loose budgets for AI.
- **Indicator for its own Scope.** Unique targets and KPIs for AI-related spend.
- **Ask key questions.** Who performs ingestion? Where does data go (BI)? Is tooling needed? Is a procurement cycle involved?



KPIs and best practices: start simple, prepare for change

Start simple

- Follow the principle: FinOps data should be accessible, timely and accurate
- Avoid over-engineering; AI workloads change quickly
- Show basic dashboards early to stay relevant
- Build toward cost per inference, GPU utilization and anomaly detection

+

Prepare for change

- New services and pricing structures appear frequently
- New vendors and cost lines will arrive as teams experiment
- Keep ingestion flexible and iterative
- Use FinOps KPIs and FOCUS use cases as a starting point

Check your knowledge · Module 3

Q1 **What is a key challenge when ingesting AI-related spend data?**

- **A** Focusing solely on SaaS vendor bills for AI services
- **B** Identifying only the prominent AI services like Sagemaker AI and Vertex AI
- **C** Bringing together diverse data sources into a unified format
- **D** Relying on existing Data Ingestion practices without modification

Q2 **True or False: Internal sources and SaaS vendor direct billing are valid data ingestion sources for AI-related spend.**

- **A** True
- **B** False

Check your knowledge · Module 3

Q3

What is a key indicator that AI-related spend should be treated as its own Scope within FinOps?

A When AI-related spend has unique targets and KPIs

B When AI spend is reported alongside other cloud costs

C When AI costs are minimal and do not impact overall budgets

D When AI costs are included as part of general technology expenses

Key takeaways

- **Expand your sources.** Go beyond the obvious AI services to private cloud, SaaS, licences and internal data.
- **Engage early.** Join architecture conversations so billing data is designed in.
- **Unify with FOCUS.** One format, and feed your needs back to vendors.
- **Start simple.** Accessible, timely, accurate data builds trust and can mature.

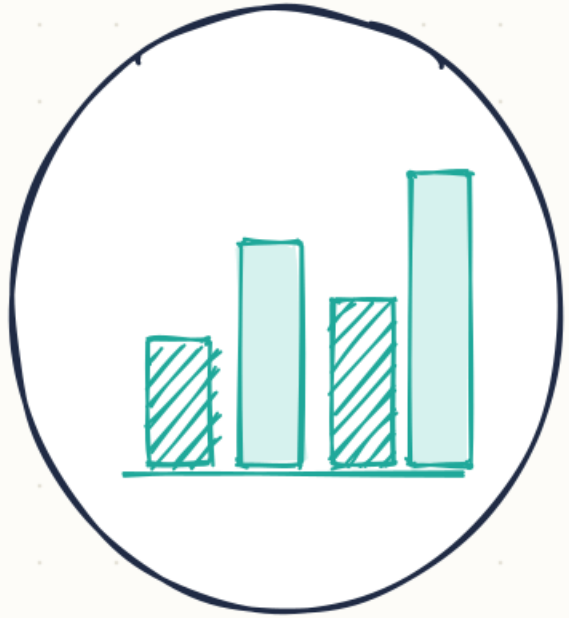




Module roadmap

By the end of this module you will be able to…

- Explain how reporting turns AI cost into actionable insight
- Tailor reports to the priorities of each persona
- Tie AI spend to business value and show it with showback
- Iterate on reporting and manage data freshness



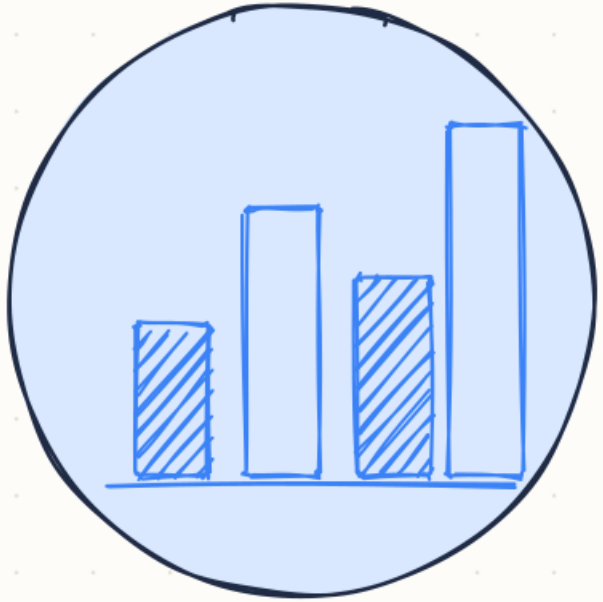
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FinOps capabilities in play

Reporting & Analytics · Allocation · Data Ingestion

AI cost visibility

- **Third corner of the Power Triangle.** Reporting & Analytics combines Allocation and Data Ingestion.
- **Translate value.** Enhanced visibility turns AI value into actionable insight.
- **Unify strategy.** A cohesive reporting approach gives clarity across diverse data sources.
- **Foster ownership.** Show people their impact on AI-related spend.





Working with personas: priorities



Leadership

Use AI to gain organizational advantage; needs strategic, value-oriented views.



Product

Stay competitive by adding AI features that solve long-standing problems.



Finance

Adapting to rapid AI adoption; needs predictability and accuracy.



Procurement

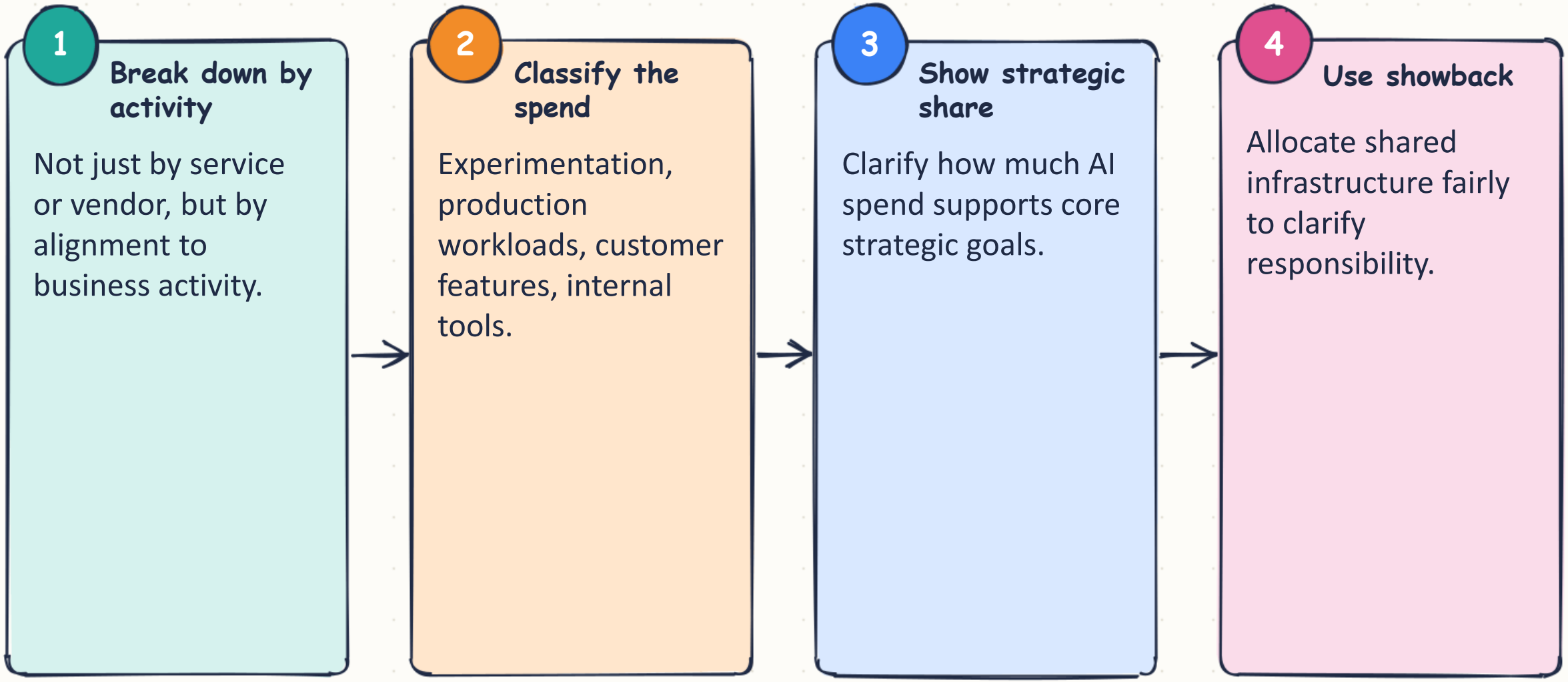
Manages vendor relationships and agreements as AI vendors multiply.



Engineering

Struggles to estimate AI cost because of complex pricing models.

Enabling insight: tie AI spend to business value



Reporting best practices

Iterate on reporting

- Start with a simple report and evolve it
- Gather stakeholder feedback regularly
- Adjust to new AI services and usage patterns

Consider data freshness

- Match refresh rate to the decision being made
- Fast-moving AI spend may need near-daily data
- Be explicit about how fresh each report is

Check your knowledge · Module 4

Q1 Why is enhancing cost visibility important in AI-related reporting?

- **A** It eliminates the need for detailed data collection.
- **B** It helps translate AI's value into actionable insights for stakeholders.
- **C** It focuses solely on reducing AI-related expenses.
- **D** It ensures all reports are standardized across all organizations.

Q2 Why is it important to tailor FinOps reports to the priorities and goals of each stakeholder?

- **A** To reduce the overall time spent on creating reports by standardizing data outputs.
- **B** To focus solely on financial metrics, as they are the most important for all stakeholders.
- **C** To simplify the reporting process by using a single format for all stakeholders.
- **D** To ensure that insights are relevant and actionable for each stakeholder's responsibilities.

Check your knowledge · Module 4

Q3 True or False: The FinOps team is responsible for directly reducing AI costs by cutting unnecessary expenses.

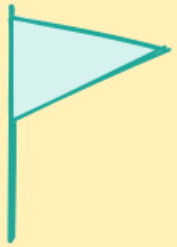
A True

B False

Key takeaways

- **Visibility enables action.** Good reporting turns AI cost into insight.
- **Tailor to the persona.** One report does not fit every stakeholder.
- **Enable, don't cut.** FinOps provides trusted data; business units own reduction.
- **Iterate and mind freshness.** Reports evolve with usage and decisions.

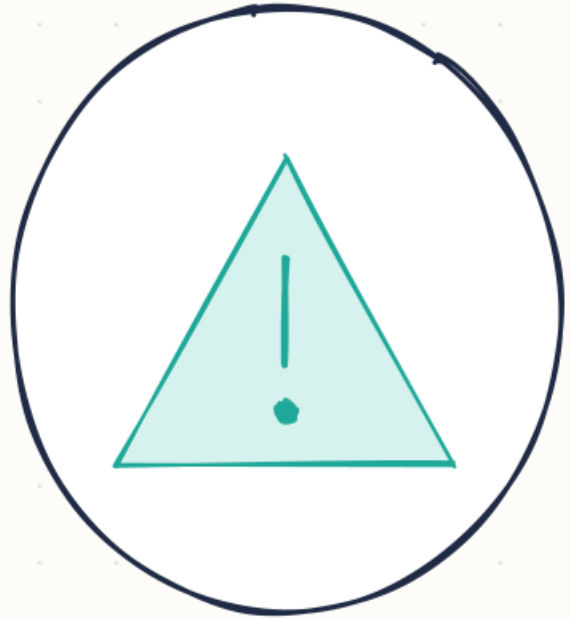




Module roadmap

By the end of this module you will be able to…

- Explain why AI anomalies need fast review
- Describe each persona's part in anomaly management using the RACI
- Recognize six common AI-related anomalies and their remedies
- Build an AI anomaly response plan and adopt a blameless culture



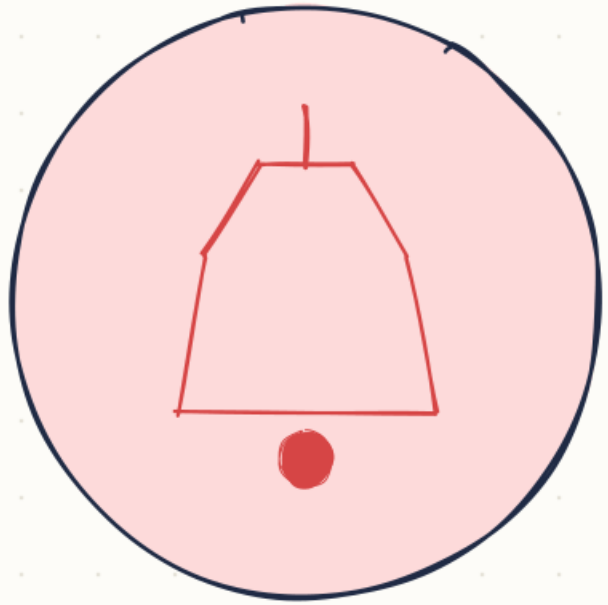
50 min

FinOps capabilities in play

Anomaly Management

The importance of anomaly management for AI

- **Canary in the coal mine.** Anomalies are an early-warning system for AI cost and risk.
- **Scale quickly.** AI usage patterns can become expensive rapidly and silently.
- **Prioritise immediate review.** Resolve before costs become significant.
- **FinOps role.** Detect, give data-backed insight and inform the right stakeholders; do not own the infrastructure.



Detect early, inform the right people, learn from each event.



Personas involved: who cares about anomalies?



Leadership

Aligns technology investment with business outcomes.



Finance

Needs spend predictability for accurate forecasts.



Procurement

Vendor anomalies: unexpected charges, contract terms.



Engineering

Often causes, detects and resolves anomalies.



Product

Anomalies can signal changed usage or a feature rollout.



Governance & Security

Unexpected activity may signal policy or security issues.

Anomaly management RACI

Based on the eBook: adjust to your own organization.

Task	FinOps	Product	Engineering	Finance	Leadership
Definition	R	C	C	C	A
Tool setup / maintenance	A	C	R	I	I
Notification criteria / threshold	R	C	C	C	I
Definition of anomaly ownership	A	R	R	I	I
Identification and analysis	A	C	R	I	I
Reforecast	R	C	C	A	I
Remediate	I	A	R	I	I
Document the anomaly	A	R/C	R/C	C	I
Measure, reflect, improve	C	A	R	C	C

AI-related anomaly examples (1/2)

Training job runs unbounded

Misconfigured YAML never exits the training loop. Fix: max epoch count and human review checkpoints.

Runaway inference

Prompt spam, aggressive retries or malformed input overwhelm the inference layer. Fix: monitor executions vs expectations.

New code over-uses the AI layer

Every page load calls summarization. Fix: review deploy logs and telemetry; batch and rate-limit.



AI-related anomaly examples (2/2)



Misaligned autoscaling

Cluster scales to 200 GPUs for a 10-minute job and scales down slowly. Fix: refine scaling policy, workload-aware scheduling, right-size.



Cost-oblivious experimentation

Notebook launches grid searches with no cost tracking. Fix: timeouts, quotas, cost tracking and cost-aware experimentation.

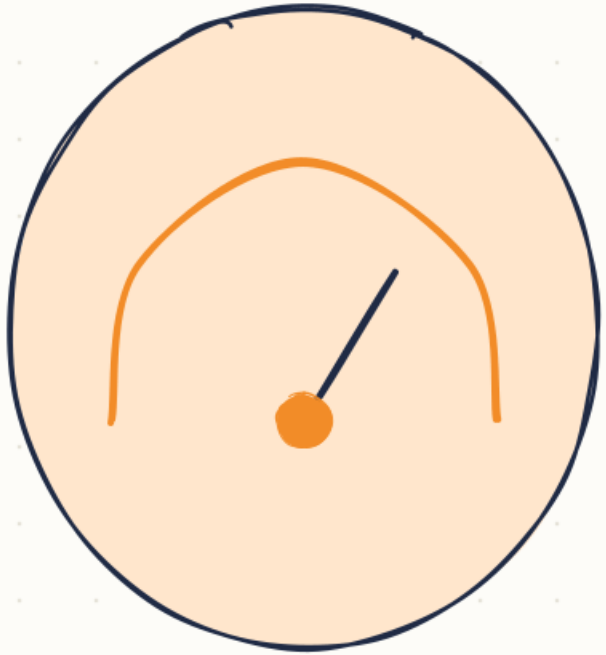


Shadow AI usage

Teams use third-party AI on personal keys or expense accounts. Fix: move to central enterprise accounts and leverage consolidated pricing.

Application: tie into your FinOps strategy

- Check whether existing anomaly detection ingests AI-specific metrics, or whether a dedicated solution is needed
- Target alerts to the relevant teams to cut noise
- Understand typical AI anomaly patterns
- Promote accountability: ask teams to monitor their own consumption



Build your AI anomaly response plan

1. **Draft the plan**

   Define response expectations, roles and a common language.

2. **Review with Leadership**

   Confirm the escalation path; expand stakeholders for AI.

3. **Walk through with Engineering**

   Make it practical and realistic.

4. **Add other stakeholders**

   Detection, communication, compliance, customer impact.

5. **Finalize and share**

   Distribute widely; store somewhere accessible.

6. **Wrap into strategy**

   Detection, notification, analysis, resolution, retrospective.

Best practices for AI anomaly management

Align people and expectations

Educate beforehand: what is an anomaly, what to do on alert, how fast to respond. Build blamelessness.

Dedicated AI layer

Tighter or tiered thresholds, focus on high-risk services, executive-ready escalation paths.

Review frequently

At least monthly, and after model deployments, new features, usage swings, postmortems and budget overages.

Check your knowledge · Module 5

Q1 Why is it important to prioritize immediate review and resolution of AI cost anomalies?

- **A** To eliminate the need for collaboration among teams during anomaly resolution
- **B** To shift focus from proactive monitoring to reactive anomaly reviews
- **C** To ensure anomalies are resolved before they escalate into significant financial consequences
- **D** To reduce the need for automation in anomaly detection processes

Q2 Which is a key responsibility of a FinOps team in managing anomalies?

- **A** Taking ownership of infrastructure and resolving anomalies directly
- **B** Providing clear, data-backed insights to relevant stakeholders
- **C** Creating noise across the organization to ensure everyone is aware of anomalies
- **D** Stopping anomalies from occurring in the first place

Check your knowledge · Module 5

Q3 **Which is a key consideration when deciding between extending existing anomaly detection tools or implementing a dedicated solution for AI workloads?**

A The number of stakeholders involved in anomaly detection

B The cost of purchasing new hardware for anomaly detection

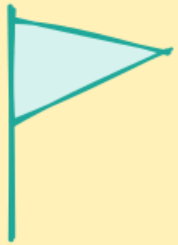
C The frequency of software updates in the current tools

D The ability of current tools to ingest and analyze AI-specific metrics

Key takeaways

- **Act fast.** AI anomalies escalate quickly into significant financial consequences.
- **Right alert, right team.** Target alerts to reduce noise and speed response.
- **Know the patterns.** Unbounded training, runaway inference, shadow AI and more.
- **Blameless and iterative.** Review the strategy at least monthly.





Module roadmap

By the end of this module you will be able to…

- Describe the AI invoicing ecosystem across cloud, SaaS, data centres and data clouds
- Explain how each persona partners on invoice reconciliation
- Use the invoice awareness KPI
- Apply validate-against-usage and minimum-viable chargeback practices



40 min

FinOps capabilities in play

Invoicing & Chargeback · Allocation

Invoicing ecosystem and why it matters

- **Many bills.** AI invoices arrive from public cloud, SaaS, data centres, data clouds and private clouds, each with distinct billing.
- **Fragmented and transient.** AI vendor relationships change quickly.
- **Bridge usage and finance.** Reconciliation connects AI usage to the systems that track, report and pay.
- **Chargeback goes further.** It moves from reconciling invoices to feeding the general ledger, so allocation accuracy is critical.





Persona partnerships on AI invoices



Finance

Reconcile before invoices reach the general ledger; tie spend to usage and purchase orders.



Procurement

Align with sourcing so purchases are tracked and contractually sound.



Engineering

Maintain visibility of AI and cloud usage behind each line.



Product

Connect invoices to product strategy and business value.



Leadership

Turn reconciled data into strategic insight.

Application: the role of FinOps

Varies by organization

Involvement in invoice reconciliation differs; define it explicitly with Finance and Procurement.

Workflow with Finance and Procurement

Review invoices against internal usage metrics and forecasts for accurate accounting.

Common challenges

Fragmented vendor invoices, unclear allocation rules, unmanaged purchases: address them proactively.

Invoice awareness KPI

Invoice Awareness = (Known AI Invoice Amount / Total Finance-Reported AI Invoice Amount) × 100

Known

AI invoice amount identified or expected by FinOps before month-end

÷ Total

AI invoice amount reported by Finance

× 100

Goal: minimize surprises and improve visibility

Example: FinOps expected $80k of $100k reported AI invoices, so awareness = 80%. Investigate the unknown $20k.

Best practices for AI invoicing

Proactive vendor selection

Involve FinOps when onboarding AI vendors such as model APIs and platforms to avoid surprises and attribution gaps.

Validate against usage and entitlements

Reconcile with training hours, inference calls, GPU use, purchase orders and commitments to catch overages and double billing.

Align chargeback with value

Start with a minimally acceptable chargeback by business unit or initiative, then evolve through frequent review.

Check your knowledge · Module 6

Q1 What is one of the primary challenges FinOps Practitioners face in the AI invoicing ecosystem?

- **A** The simplicity of comparing costs across platforms
- **B** The stability of long-term vendor contracts
- **C** The fragmented and transient nature of AI vendor relationships
- **D** Centralized billing from a few major cloud service providers

Q2 True or False: Accurately reporting AI costs guarantees they will always align with business needs.

- **A** True
- **B** False

Check your knowledge · Module 6

Q3

What is a key way FinOps teams can demonstrate the value of AI spend to Leadership?

A By showing the number of invoices received for AI services each month.

B By focusing solely on reducing the total AI spend.

C By breaking down AI spend by service or vendor only.

D By illustrating how AI spending supports specific business goals or outcomes.

Key takeaways

- **Reconcile first.** Validate invoices against usage, purchase orders and entitlements.
- **Chargeback feeds the ledger.** It is only as good as your allocation.
- **Involve FinOps early.** Vendor onboarding should not create budget surprises.
- **Start minimal.** High-level chargeback first, then refine.





Module roadmap

By the end of this module you will be able to…

- Explain why AI pricing needs education beyond traditional cloud knowledge
- Compare AI service types and pricing models
- State where responsibility lies: FinOps enables, teams own cost decisions
- Plan enablement activities and a threshold to prioritise teams
- Build a common language



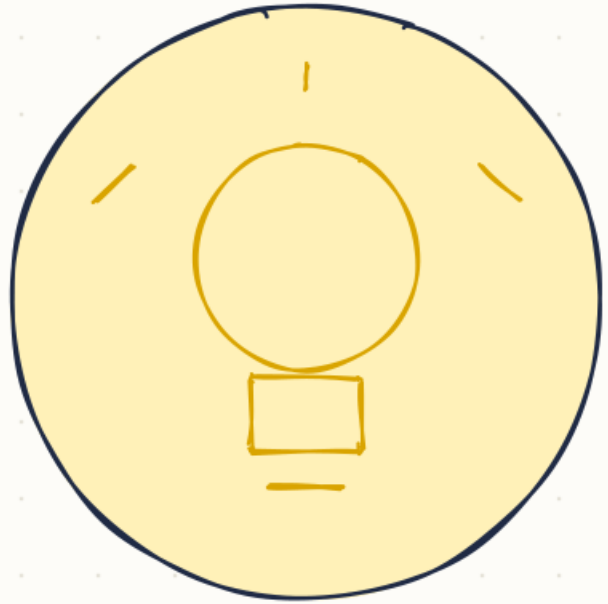
45 min

FinOps capabilities in play

FinOps Education & Enablement

Cost-aware product decisions

- **Educator and enabler.** FinOps equips personas and stakeholders to make cost-aware decisions.
- **Old experience, new pricing.** Engineers' familiarity with compute and storage cost does not translate directly to AI pricing.
- **Architecture choices matter.** Third-party model API vs hosting a model in-house carries very different cost dynamics.
- **Teach the trade-offs.** Show how choices affect cost, speed and quality.



Beyond the traditional cloud cost model

More than the big CSPs

AI spend extends to model vendors, SaaS, marketplaces and data platforms.

Evolving tool mix

Notebooks, frameworks and toolkits: free, open source, bought or new SKUs.

Different services consumed

IaaS, PaaS and SaaS layers combine in GenAI systems.

AI pricing models to teach

Pricing model	How it works	Watch out for
Pay-as-you-go / on-demand	Per token, request or GPU hour	Spikes with traffic
Provisioned capacity	Reserved throughput for low latency	Idle capacity if not scaling
Subscription	Recurring fee for fixed access	Overspend if underused
Tiered	Unit price changes by usage band	Complex forecasting
Spot / batch	Discounted interruptible compute	Interruptions; best for flexible jobs

Where the responsibility lies

FinOps team

- Provide visibility into cost, usage patterns and trade-offs
- Educate and translate financial context
- Enable informed decisions

vs

Not FinOps

- Enforcing a fixed number or predefined budget
- Making the AI investment decisions
- Directly optimizing every AI workload

Application: evolving education and enablement

Extend existing programs

Add AI pricing to current FinOps training instead of a separate track.

Leadership buy-in

Show business impact and risk to win sponsorship.

Engineering buy-in

Be a partner, not a gatekeeper; share useful tools.

Non-technical builders

Analysts, researchers and PMs now make cost-affecting technical choices.

Balance for scale

Do not educate everyone equally; tier by impact.

Real-world enablement activities

Cost modeling workshop

Two-way hands-on session on how AI architecture choices change cost.

New hire onboarding

Short module on AI pricing basics, FinOps concepts and who to contact.

AI spend reviews

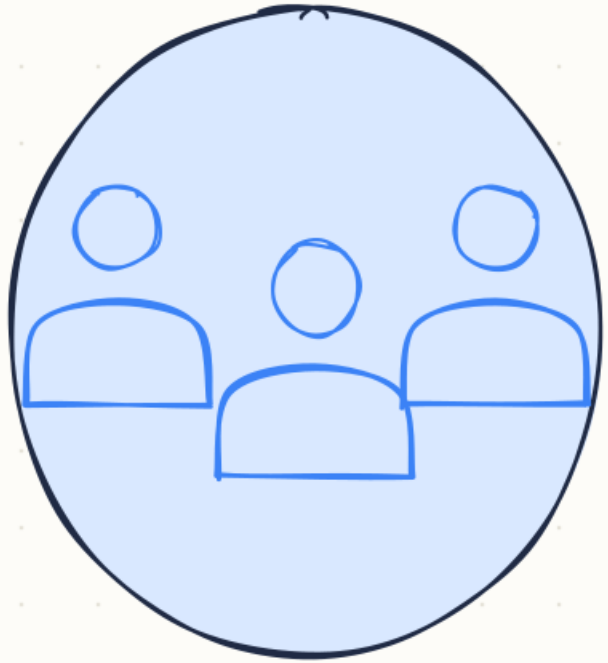
Quarterly formal reviews with teams deploying AI or running high-cost experiments.

Enablement threshold example: score teams to prioritise

Factor	Scale (example)
Business criticality	0 internal experiment, 1 low-impact tool, 2 team use case, 3 department automation, 4 core product, 5 direct customer / revenue
Engineering and cost factors	Score other factors such as spend and workload complexity
Total score	Teams above your threshold get hands-on enablement

Build a common language

- Terms such as inference cost, token usage and model tuning should be as familiar as compute and storage
- A shared vocabulary reduces friction between FinOps, Engineering and Product
- Discuss value, trade-offs and optimization rather than definitions
- Use education KPIs: reach, risk and impact



Check your knowledge · Module 7

Q1 **Why is it important for FinOps Practitioners to educate teams about AI-specific pricing models?**

- **A** Because AI pricing models are always transparent and easy to understand.
- **B** Because traditional engineering experience with cloud costs directly applies to AI pricing models.
- **C** To ensure teams can navigate the complexities of AI pricing and make cost-aware decisions.
- **D** To eliminate the need for FinOps Practitioners in AI-related projects.

Q2 **Which AI-specific pricing model is most suitable for applications requiring low latency and does not scale dynamically with traffic spikes?**

- **A** Spot Instances / Batch Pricing
- **B** On-Demand / Pay-As-You-Go
- **C** Subscription-Based
- **D** Provisioned Capacity

Check your knowledge · Module 7

Q3 **What is the primary responsibility of a FinOps Practitioner when it comes to AI-related costs?**

- **A** To ensure AI costs stay within a predefined budget
- **B** To make decisions about AI investments and spending
- **C** To provide visibility into costs, usage patterns, and trade-offs
- **D** To directly optimize AI workloads for cost efficiency

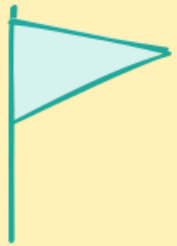
Q4 **Which of these options is the most effective way to educate teams on AI pricing models within an organization?**

- **A** Focus only on technical teams since they handle AI implementation.
- **B** Integrate AI pricing education into existing FinOps training programs.
- **C** Provide training only when teams request it to save resources.
- **D** Create a separate training program specifically for AI pricing models.

Key takeaways

- **Enable, not enforce.** Provide visibility, context and education so teams make cost-aware choices.
- **Extend existing programs.** Embed AI in current FinOps enablement.
- **Prioritise by impact.** Use thresholds such as spend or workload complexity.
- **Partner, not gatekeeper.** Earn trust and build a shared vocabulary.

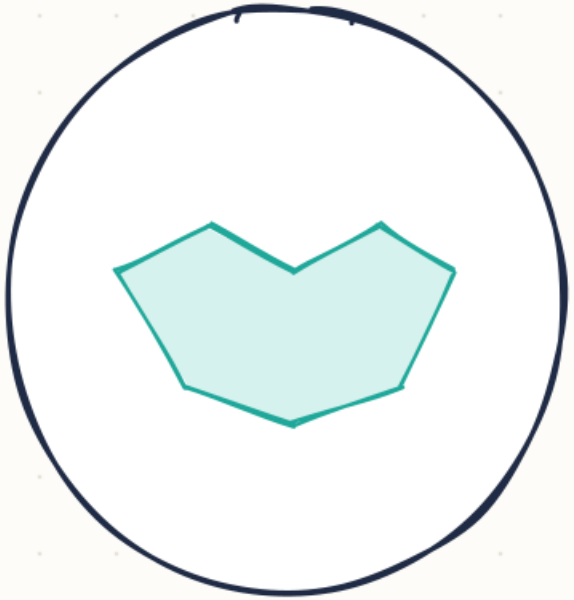




Module roadmap

By the end of this module you will be able to…

- Identify allied disciplines: ITAM/SAM, ITFM, ITSM/MLOps, Security, Data teams
- Explain what each ally contributes to AI cost governance
- Apply the three best practices for collaboration



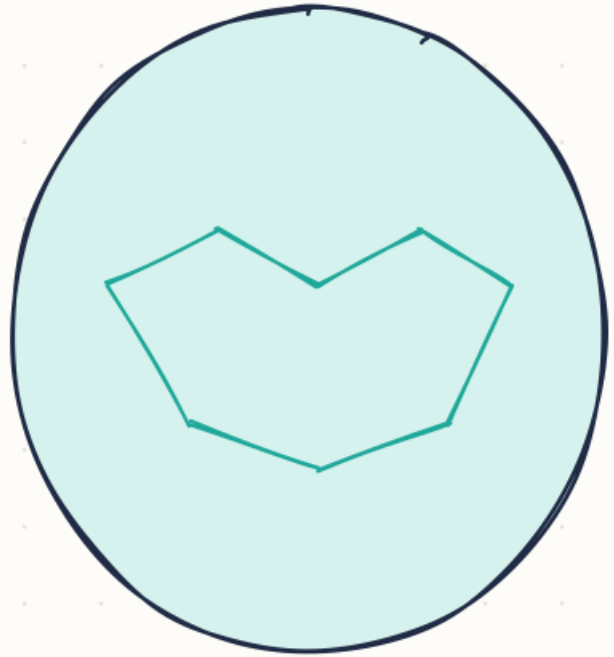
30 min

FinOps capabilities in play

Cross-functional collaboration

Collaboration is key

- **Principle.** Teams need to collaborate.
- **Intersecting disciplines.** ITAM, ITFM, ITSM and Security.
- **Outcome.** AI costs that are visible, aligned and well-governed across the organization.
- **Mindset.** View AI through cost and through partnership.





Allied personas: who does what



IT Security

Arguably the most critical ally: PII, sensitive data and model exposure.



Data scientists and data teams

Drive AI initiatives; know training, data and experiment costs.



ITAM and SAM

Govern AI software and vendor use; avoid duplicate tools; track AI-generated assets.



ITFM

Cost categorization (OpEx vs CapEx, R&D, COGS), chargeback and showback.



ITSM and MLOps

Clarify ownership of AI incidents; track service-level costs for uptime and support.

Best practices for collaborating with allied personas

Align at every level

Secure C-level sponsorship (CTO, CFO, CISO) and align OKRs, down to practitioner working agreements.

Shared data as common language

One source of truth for AI cost; each group works independently with visibility into others' data; match cadence to maturity.

Leverage allied expertise

Focus on financial accountability; Security, ITAM, ITFM and ITSM handle their own domains.

Check your knowledge · Module 8

Q1 **Collaboration with intersecting disciplines like ITAM, ITFM, ITSM, and Security ensures that AI costs are ____, aligned, and well-governed across the organization.**

- **A** reduced
- **B** allocated
- **C** visible
- **D** enriched

Q2 **Which best practice helps allied teams collaborate without turf wars?**

- **A** Align at every level, from executive sponsor to practitioner
- **B** Keep cost data private to FinOps
- **C** Duplicate allies' work inside FinOps
- **D** Wait for an incident before meeting

Check your knowledge · Module 8

Q3 Which ally is described as arguably the most critical for AI?

- **A** ITAM
- **B** IT Security
- **C** ITSM
- **D** Procurement

Q4 True or False: FinOps should take over the work of Security and ITAM for AI.

- **A** True
- **B** False

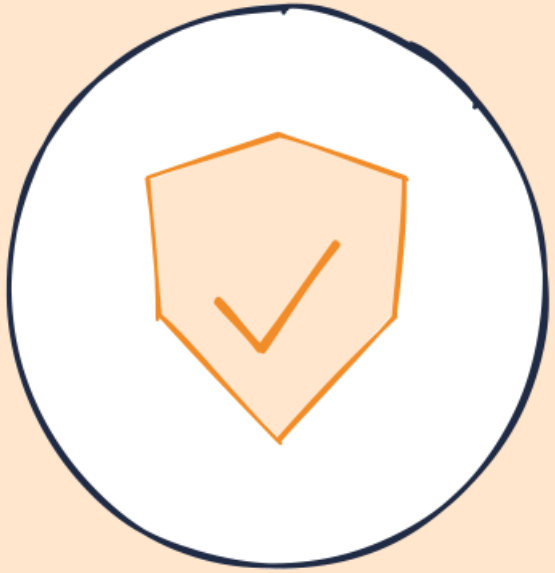
Key takeaways

- **Collaborate.** FinOps cannot manage AI cost alone; it is a core FinOps Principle.
- **Shared data.** A single source of truth is the common language.
- **Leverage allies.** Own financial accountability; let others own their expertise.





LEVEL 2



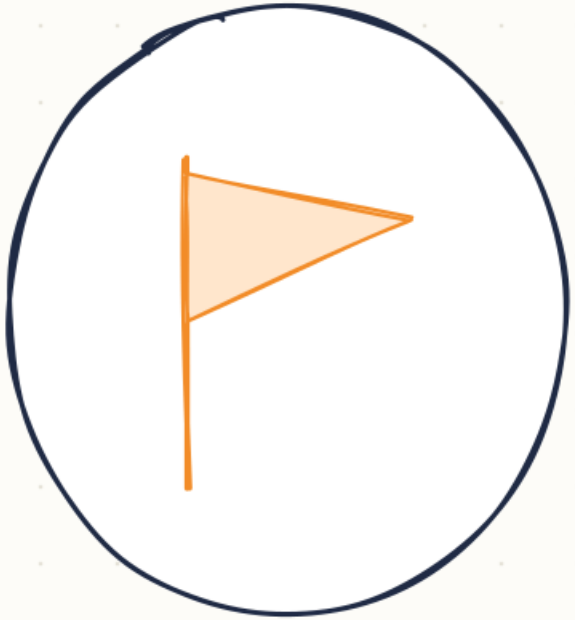
Strategy & Governance

Policy and governance, planning and estimating, forecasting, budgeting and adapting the FinOps practice.

Module roadmap

By the end of this module you will be able to…

- Explain how Level 2 moves from visibility to strategy and governance
- Preview Policy & Governance, Planning & Estimating, Forecasting, Budgeting and Adapting the practice
- See how the planning cycle fits together



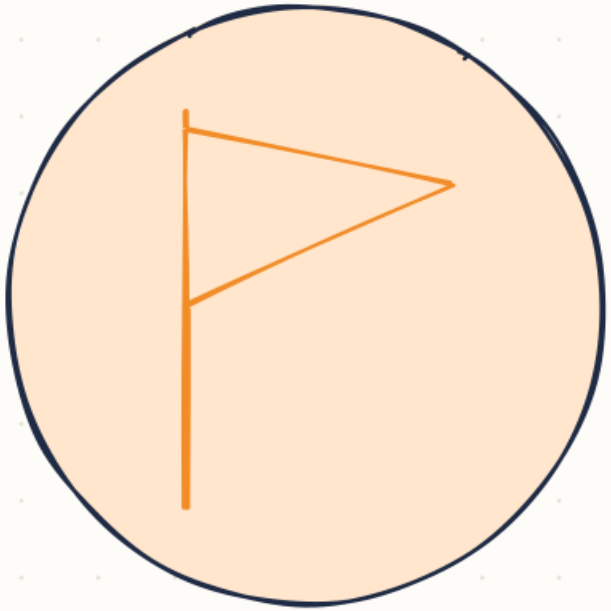
15 min

FinOps capabilities in play

Policy & Governance · Planning & Estimating · Forecasting · Budgeting

Welcome to Level 2: Strategy & Governance

- **From visibility to control.** Level 1 gave you data and allocation; Level 2 uses them to steer decisions.
- **Plan ahead.** Estimate, forecast and budget AI spend before it lands on the bill.
- **Govern.** Policies, councils and tools keep innovation and cost in balance.
- **Adapt the practice.** Evolve tooling, assessment and operating model for AI.



Level 2 roadmap

1

AI Policy & Governance

Policies, owners and doers, AI Investment Council

2

AI Planning & Estimating

Estimate uncertain workloads; POC to production

3

AI Forecasting

Granularity, rhythms, inputs

4

AI Budgeting

Shared responsibility, outcomes, rolling visibility

5

Adapting the FinOps Practice

Tooling, assessment, operations

Check your knowledge · Module 1

Q1 What is the focus of Level 2 in this curriculum?

- **A** Strategy and governance
- **B** GPU hardware selection
- **C** Invoice formatting
- **D** Marketing AI products

Q2 True or False: Level 2 assumes you have mastered Level 1 visibility practices such as allocation and reporting.

- **A** True
- **B** False

Answer key

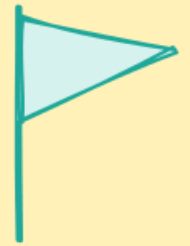
Q1 **Answer A:** Strategy and governance — Level 2 is titled Strategy & Governance.

Q2 **Answer A:** True — Planning and governance depend on trustworthy allocation, data and reporting.

Key takeaways

- **Level 2 = strategy.** Move from reacting to shaping AI investment.
- **The planning cycle.** Estimating, Forecasting and Budgeting work together.
- **Governance enables.** Policies guide innovation instead of blocking it.

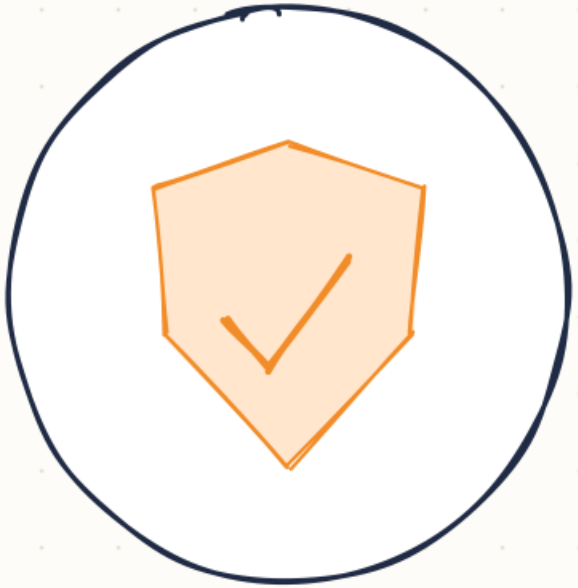




Module roadmap

By the end of this module you will be able to…

- Connect FinOps to policy and governance for AI
- Distinguish policy owners from policy doers and win buy-in
- Identify, define and enforce policies with an end-to-end strategy
- Describe how an AI Investment Council works and how to start one



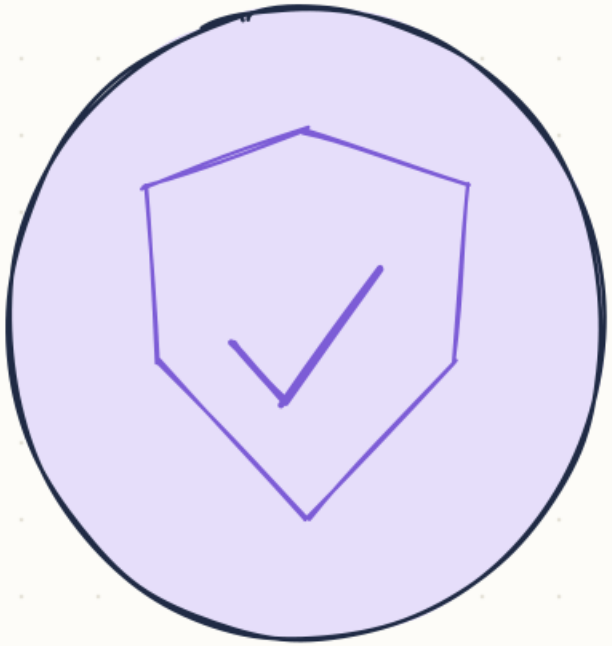
50 min

FinOps capabilities in play

Policy & Governance

Connecting FinOps with policy and governance

- **Purpose.** Guide AI adoption responsibly while avoiding excessive spend.
- **FinOps contributions.** Creating an AI investment council; notifications when AI tools are approved or security-cleared; monitoring compliance; engaging policy owners in Finance, Procurement and Security.
- **Mechanisms.** Resource tagging, monitoring, templates, approvals.
- **Balance.** Early experimentation needs oversight without heavy friction.



Policy owners and policy doers

Policy owners

- Finance, Security, Procurement, Legal
- Write rules to control cost, risk and compliance
- Care about audit, accuracy and coverage

↔

Policy doers

- Engineering and product teams
- Live with the rules in daily work
- Feel friction when compliance is tedious

Example: Tagspire Systems tagging policy

1 Scenario

AI costs creep up; Security flags untagged resources; Procurement sees unmanaged purchases.

2 Challenge

Engineers see owner, environment, cost-centre and business-unit tags as friction; compliance slips.

3 Turning point

FinOps reframes tags as shared value and automates default tags.

4 Outcome

Tagging compliance rises from 45% to 92% in three months.

Winning buy-in: five levers

Authority / power

"Do it because leadership said so." Fast but breeds resentment.

Incentives

"If you do this, you get X." Works short term; risk of dependency.

Social norms

"Everyone is already doing this." Engineers follow peers.

Inspiration / vision

"This supports our growth." Slower but durable.

Reciprocity

"We make your job easier if you comply." Powerful over time.

Identifying and defining policies

1 What behaviour to control?

For example limits on GPU use for experimentation.

2 What risk or cost?

Uncontrolled experimentation, shadow AI, vendor risk.

3 What exists to extend?

Procurement vendor risk, cloud cost policies.

4 Where are the gaps?

General cloud policy but nothing AI-specific.

Roles and existing tools

Who owns the policy?

Finance, Security or Procurement; ownership may rotate by topic.

Who governs adherence?

Even if FinOps does not write the policy, FinOps Practitioners often monitor it.

Use what you have

Procurement approvals (for example ServiceNow), FinOps dashboards extended for AI spend, CI/CD compliance checks.

End-to-end governance strategy

1 **Define the policy**

What is the rule and who owns it?

2 **Choose the mechanism**

Where and how it is enforced.

3 **Clarify roles**

Policy owner, doers, governors.

4 **Implement enforcement**

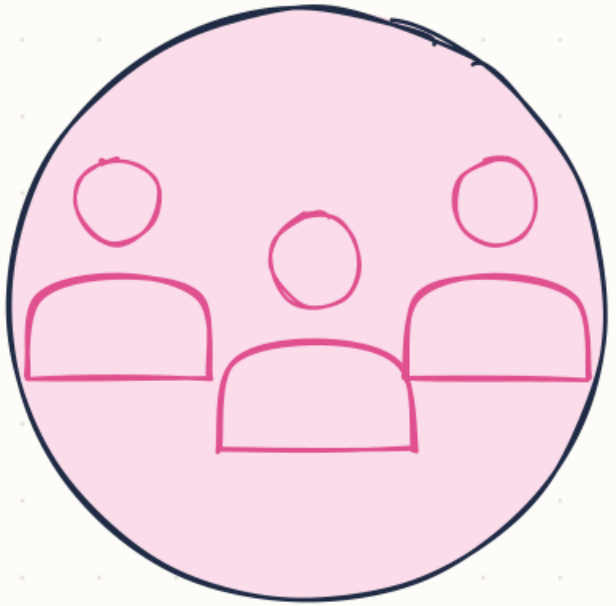
Checks and balances that make compliance real.

5 **Measure success**

KPIs showing effectiveness and value.

What is an AI Investment Council?

- **A cross-functional forum** that reviews and funds AI proposals.
- **FinOps at the centre** of AI decisions, not an afterthought.
- **Visibility before spend,** avoiding retroactive surprises.
- **Business cases tie cost to expected value.**
- **Education forum** for non-technical leaders on financial impact.



AI Investment Council process

1

Intake and ideation

Teams submit proposals on a standard template.

2

Review and prioritisation

Assess against business goals, compliance and cost.

3

Approval and funding

Budget authorised with FinOps ensuring cost visibility.

4

Value tracking and feedback

Teams report whether promised outcomes were achieved.

5

Iteration and cadence

Meeting rhythm scales with AI adoption pace.

Governance best practices

Balance structure and flexibility

- Extend existing policies to avoid redundancy
- Share goals and responsibilities across owners, leaders and tech teams

+

Enable innovation without losing control

- Guide adoption; do not slow it
- Rigid policies get bypassed, so make compliance the easiest path
- Allow exceptions with a route into standard governance

Check your knowledge · Module 2

Q1 Which governance model best supports early-stage AI experimentation while still maintaining oversight?

- **A** Control first, where all AI usage requires prior approval
- **B** Decentralized governance, where teams manage AI usage independently
- **C** Trust but verify, allowing experimentation with post-use compliance checks
- **D** Automated enforcement, where all AI resources are provisioned through preapproved templates

Q2 What is a key strategy to ensure policy compliance among engineers working with AI solutions?

- **A** Creating separate policies for each department
- **B** Reframing policies to highlight shared benefits
- **C** Offering financial incentives for compliance
- **D** Mandating compliance through authority and power

Check your knowledge · Module 2

Q3 What is the first step FinOps Practitioners should take when addressing AI governance policies?

- **A** Implement enforcement mechanisms for existing policies
- **B** Create new tools and processes for AI governance
- **C** Establish KPIs to measure policy effectiveness
- **D** Build an inventory of existing and missing policies

Q4 What is the primary purpose of implementing an end-to-end governance strategy for AI policies?

- **A** To create entirely new tools and processes for AI governance
- **B** To delegate all governance responsibilities to the Security team
- **C** To ensure policies are consistently applied and operationalized across the organization
- **D** To eliminate the need for cross-functional collaboration

Key takeaways

- **Build on existing policies.** Extend rather than reinvent.
- **Bridge owners and doers.** FinOps translates between them and reframes compliance as shared value.
- **Make compliance easy.** Automation beats mandates.
- **Bring cost to the start.** An AI Investment Council puts FinOps in the room before spending.

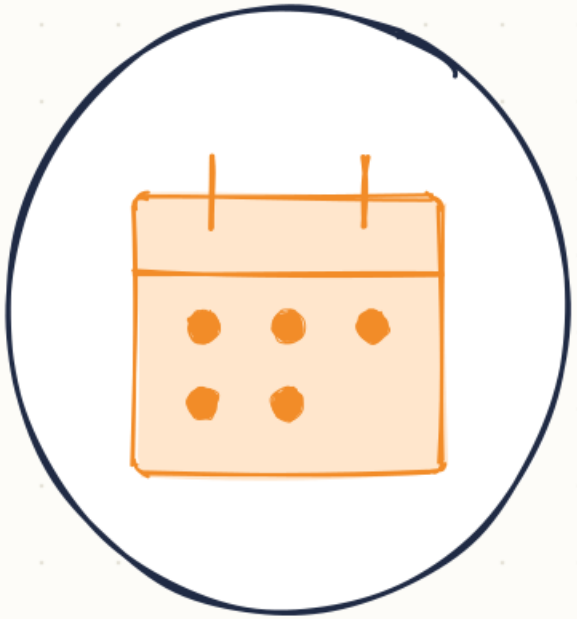




Module roadmap

By the end of this module you will be able to…

- Explain how Planning & Estimating, Forecasting and Budgeting fit together
- Name the three estimating challenges and mitigations
- Control the proof-of-concept to production transition
- Apply a six-step estimation process

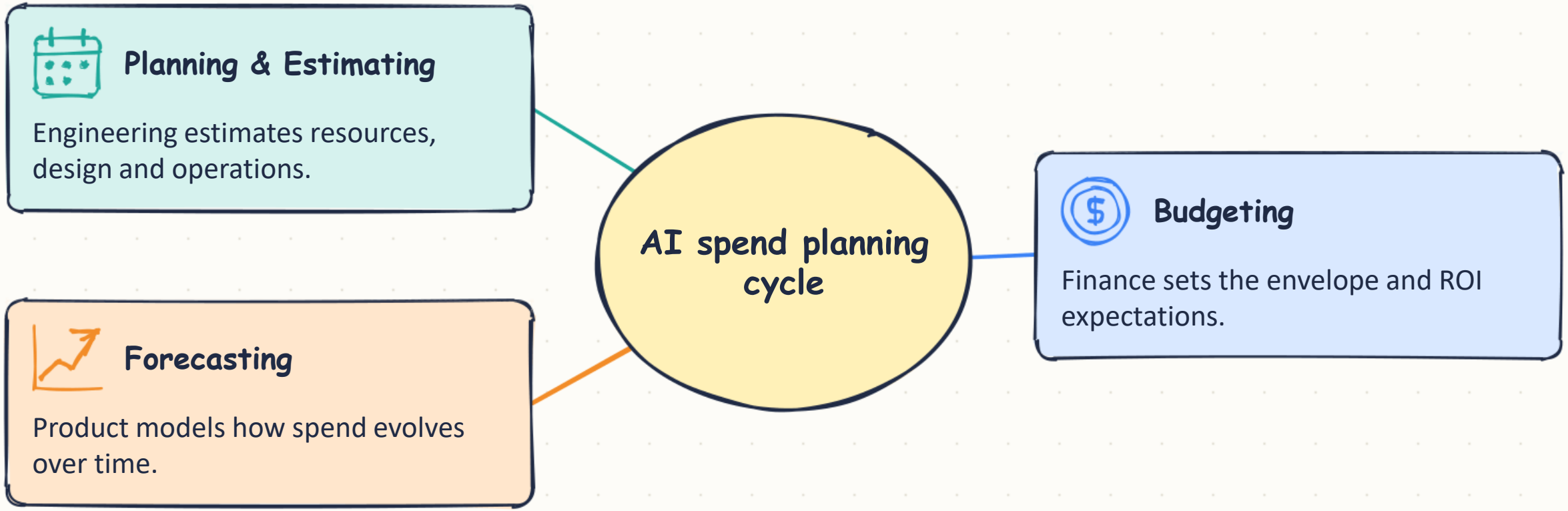


40 min

FinOps capabilities in play

Planning & Estimating · Forecasting · Budgeting

Capabilities with affinity: the planning cycle



The challenges of estimating AI workloads

Demand uncertainty

Usage is driven by customer behaviour.

Missing consumption metrics

No clear driver like one cost unit per transaction.

Outcome uncertainty

Similar inputs can produce variable costs.

Mitigating estimation uncertainty

Staged releases and previews

Roll out to a subset first.

Worst-case planning

"What if demand scales faster than expected?"

Guardrails and feature limits

Usage caps agreed with Engineering.

Monitoring from day one

Telemetry in the deployment checklist, such as minutes of audio for a transcription service.

From POC to production

1

Validate estimates

FinOps validates production cost estimates before scale-up approval.

2

Assess financial risk

If scaling costs 30x the POC, the council weighs that risk.

3

Prioritise funding

Decide which POCs earn production budgets and which stop.

4

Enforce accountability

No team bypasses estimation or monitoring.



Continuous estimation: who owns what



Engineering owns estimation

Breaks down resources, design choices and operational needs.



Product owns forecasting

Models how spend and consumption evolve over weeks and months.



Finance owns budgeting

Defines the allocation envelope and ROI expectations.

Performing AI estimation: six steps

1. **Identify cost drivers**
   Tokens, GPU hours, training steps.
2. **Gather usage assumptions**
   Baselines from Engineering and Product.
3. **Translate to a cost formula**
   Simple model: unit cost times volume.
4. **Create ranges**
   Low, medium and high scenarios.
5. **Layer in growth curves**
   Linear, exponential or stepped growth.
6. **Validate continuously**
   Compare to actuals weekly or monthly.

Best practices for estimating

No history? Build a baseline

POCs, microbenchmarks, mini deployments; ask compute, storage, redundancy and ancillary service questions; check egress, zones, logging.

Use tools as companions

Re-estimate when major changes occur; provide templates and checklists.

Early feedback

See first cost signals within days; prebuild dashboards.

Validate, iterate, govern

Use at least two methods (CSP calculator plus POC) and expert review.

Check your knowledge · Module 3

Q1 Why is it important to involve FinOps in Planning & Estimating AI workloads?

- **A** To reduce the performance requirements of AI workloads.
- **B** To ensure that AI workloads are financially viable before deployment.
- **C** To eliminate the need for architectural diagrams during cost estimation.
- **D** To bypass pre-deployment checklists for faster implementation.

Q2 Which of the following best describes outcome uncertainty in AI cost estimation?

- **A** Predicting user demand for new AI features before release
- **B** Variability in cost for similar inputs due to non-deterministic model behavior
- **C** Lack of clear consumption metrics like "cost per login"
- **D** Estimating costs for on-premises hardware infrastructure

Check your knowledge · Module 3

Q3 **Why is the transition from proof of concept (POC) to production considered a high-risk phase for AI costs?**

- **A** Because teams typically overestimate costs during POC
- **B** Because leadership requires detailed forecasts before any POC starts
- **C** Because FinOps Practitioners usually take over ownership of AI budgets
- **D** Because early prototypes ignore major cost drivers that scale sharply in production

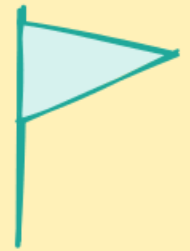
Q4 **What is the first step in estimating the cost of an AI workload?**

- **A** Gather usage assumptions from Engineering teams
- **B** Identify the cost drivers of the workload
- **C** Validate and adjust estimates continuously
- **D** Create ranges for low, medium, and high scenarios

Key takeaways

- **Get involved early.** Estimates built during planning prevent financial surprises.
- **Plan for uncertainty.** Demand, metrics and outcome all vary.
- **Validate before scale.** POC to production is the highest-risk step.
- **Compare estimate to actual.** Ask why you were off and learn.





Day 1 recap

1 **See it**

Scope, cost types, data sources, reporting.

2 **Control it**

Anomaly response, invoices and chargeback.

3 **Teach it**

Education, enablement, allied personas.

4 **Govern it**

Policies, AI Investment Council.

5 **Plan it**

Estimating the uncertain.

Day 1 homework (10 min): your first 30-60-90 actions



Pick three actions you can start in your own organization. Write them in the workbook page "My 30-60-90 plan".

1 Next 30 days

- Find hidden AI spend
- Meet Finance and Procurement

2 Next 60 days

- Tag or allocate shared GPU cost
- Draft an anomaly response plan

3 Next 90 days

- Pilot an AI intake template
- Launch an enablement session